

Chapter # 6

Intellectual Property

Right

→ often the most valuable assets owned, used & developed by a ^{software house} innovative work that never done before

Intellectual property:

- it refers to ideas, inventions, and creations of the mind that are unique and valuable.
- it includes things like new products, books, music, logos.
- And legally protected, giving the person who created them the right to control and earn money from their use.

Key Characteristics:

- Intangible
- Exclusive Rights - IP ~~right~~ laws grant creators the right to control and benefit from their creations.
- Most IP rights are granted for a limited period, after which the works can enter the public domain.

What does intellectual property include?

Four main types of IP rights:

1. Copyright of computer programs:

protects written documents, a picture, software code, music, art, books, scientific works etc from unauthorized copying.

2. Trade Marks:

Identifies product of a specific manufacturer or supplier, merchandise marks, service marks, protecting names and logos, brand names etc.

3. Patents:

Protect inventions granting exclusive rights for a set period.
e.g. new form of airplane engine, a floor cleaner etc.

4. Trade Secrets/Confidential info:

- Restricts disclosure of sensitive information shared under confidential circumstances.

5. Design: Look of product is registered in design registry. What are intellectual property rights?

→ Rights which are given to persons who are the authors or creators

of the new and original literary and artistic works of their creativity process and intellect.

→ These rights are given for a certain period of time and after which the general public have the right to freely benefit from them in their benefit and use.

Protection of Software through IP Rights:

Copyright:

o Automatically protects software source code and documentation from copying.

Patents:

o Can be used to protect unique inventions related to software (e.g. hardware - process ons).

Confidential information:

o Protects proprietary algorithms or data structures from being shared by employees or competitors.

Designs: The look of the product may be registered in the designs Registry.

Trade Marks:

Protects branding elements like names and logos related to the software. The name under which a product is sold may be registered as trademark.

Necessity of IPR protection

→ IP rights protection is necessary due to the following reasons:

- Encouragement to creativity by ensuring its rights/ reward
- Innovation in technology
- Transfer of technology to less developed nations and countries of the world.

WORLD IP Organization

→ Was established on July 14, 1967 at Stockholm.

IP establishments in Pakistan

→ All the IP rights laws in Pakistan are being administered and managed by three different ministries of the Federal Government, which are as under:

1. Ministry of Education:

The Copyright Ordinance, 1962.

2. Ministry of Industries and Production:

- The Registered Designs Ordinance, 2000.
- The Registered Layout-Designs of Integrated Circuits Ordinance, 2000.

3. Ministry of Commerce:

- The Trademark Ordinance, 2001
- The Merchandise Mark Act, 1889.

General Agreement of Tariffs & Trade:

→ GATT Concerned the protection of IP rights in the face of wide-spread piracy of software products.

Q. What is intellectual property used unauthorized?

→ If someone misuses IP, the owner can get a court order to make them stop and can also claim money for the damage caused by the infringement.

1. Confidential information

- Information that should be encapsulate from public point of view known as Confidential information.
- Any sensitive data that is not intended to be disclosed publicly.
- Could be any category of information from personal confidences, to trade secrets, sensitive government information, Customer data, processes or formulas or any of which a firm may want to protect against unauthorized use or disclosure by others.
- Information will be protected only if it is Confidential.
- Non-Confidential information not need protection.
- Three Condition must be satisfied before an action for breach of Confidential can succeed.

1. The information must be Confidential: it should not be something that is publicly available or common knowledge.
2. The information must have been

obligation to keep it private.

disclosed in circumstances which give rise to an obligation.

3. These must be an actual unauthorized use or disclosure of the information if the person who was supposed to keep it Confidential tells someone else or uses it for their own gain without consent, this would be a breach.
⇒ if all these conditions are met, then an action for breach of confidentiality can be successful.

2. Copyright

(Does not protect the idea itself)

⇒ Copyright is a legal right granted to the creator of an original work, giving them exclusive control over how that work is used.

⇒ it exists in many countries and applies to various kinds of creations, such as written content, music, software, art and more.

⇒ In simple terms,

Copy right is the right to copy.

What Copyright protects:

⇒ Copyright protects the specific ^{ideas} ~~ideas~~ are expressed, such as:

Written works:

books, articles, business letters.

Drawings or diagrams:

manuals, technical drawing.

Computer programs:

Software code

Lists:

Customers or suppliers lists

⇒ Even though it does not protect ideas themselves, Copyright protects the form in which the ideas are written or drawn out.

Rights Given by Copyright:

⇒ The law gives six exclusive rights to the copyright owner:

1. Copy the work:

• Only the owner can make copies of their work.

2. Issue Copies to the public:

• The owner can distribute or sell copies to the public.

3. Lend the work:

• The owner has the right to loan out the work (like books in a library).

4. Perform, play or show the work publicly:

• Only the owner can display or perform their work in public (like a play or song).

5. Broadcast the work:

• The owner can control whether their work can be broadcast on TV or radio.

6. Make adaptations:

• The owner has the right to create versions or modifications of their work. (like turning a book into a movie).

Copyright Works

⇒ Copyright law protects many different types of creative work.

⇒ These works are grouped into three main categories, and there are nine specific types of works that are protected:

1. Original Literary, Dramatic, Musical & Artistic works.

2. Sound recordings, films, Broadcasts & Cable Programs.

3. Typographical Arrangement of published Editions.

Note:

Databases and computer programs are also protected by copyright laws.

Who owns Copyrights

→ When comes to computer-generated and computer-aided works, who owns the copyright depends on whether the creator is working as an employee or independently.

Computer-generated work:

→ If the work is created entirely by a computer (with little human involvement), the author is the person who sets up the process that leads to the creation of the work. This could be anyone or programmes making the arrangements for the computer to generate the work.

Computer-aided work:

→ For work that is created with the help of a computer, the author is the person who uses the computer

to design or create the work. The computer is just the tool in this process.

What happens when the author is an employee?

→ If the author is an employee and creates the work as part of their job, the employee typically owns the copyright to that work.

Infringement of Copyrights

→ When someone breaks the rules that protect a creator's work, called infringement of copyright.

→ There are two primary types of copyright infringement:

1. Primary infringement
2. Secondary infringement

1: Primary infringement

Occurs when someone does something that only the copyright owner is allowed to do, without the owner's permission.

These actions include:

Copying:

Making Copies without permission.

Home taping:

Recording music or movies at home without permission.

Adaptations:

Changing or modifying the work without consent.

Rental rights:

Renting out a copyrighted work without permission.

This affects the civil rights of the copyright owner. This type of infringement can be done accidentally without knowing it, but the person is still responsible for breaking the law.

2. Secondary Infringement

More serious because it usually involves intentional actions and is often linked to making money from illegal copies (pirated).

Can result in both a civil

lawsuit and criminal charges.

⇒ Actions that count as secondary infringement include:

- Importing pirated software not for personal use.

- Possessing pirated software as part of the business.

- Selling or renting pirated copies

- Broadcasting or transmitting a copyrighted work without permission.

- Indirect infringement - involves helping others infringe copyright, such as distributing tools to copy protected works.

Acts permitted in relation to Copyright:

⇒ Some acts are permitted under the 1998 Act, even though they would otherwise amount to breach of copyright.

1. Fair dealing

2. Making back-up copies of computer programs.

3. Transfer of works in electronic form.

4. Exemption - correction

- 5. Databases
- 6. De-Compilation for the purpose of interoperability.

Remedies for breach of Copyright

→ When someone infringes on Copyright, the Copyright owner has several remedies they can pursue:

1. Injunctions

The court can order the infringer to stop using the copyrighted work immediately. This prevents further illegal use or distribution.

2. Damages

The Copyright owner can seek financial compensation for any losses caused by the infringement. This could include lost profits or harm to the owner's reputation.

3. Account of profits

If the infringer made money by using the copyrighted work, the court can require them to give those profits to the Copyright owner.

4. Seizure of infringing Copies

The court can allow the Copyright owner to seize any illegal copies of the work and any equipment used to produce them.

5. Legal costs

The infringer may be required to pay the Copyright owner's legal fees.

3. Patents

(Basically, related to protection of functionality)

→ A patent is a special legal right granted by the government to an inventor allowing them to stop others using their inventions without permission for a certain period.

→ Unlike Copyright, a patent does not automatically protect an invention. The inventor has to apply for it.

Temporary Monopoly

A patent gives the inventor a temporary monopoly, means they can control the invention and stop competitors from using it.

→ After this period ends, the invention becomes public, and anyone can use it freely.

Recouping investment:

→ The monopoly period helps the inventor recover any money they spent developing the invention.

→ They can do this by:

- Selling the invention themselves, possibly at a higher price, because no one else is allowed to sell it.

What can be patented?

→ Patent Act 1977 enforced, not everything can be patent. According to this law,

an invention can only be patented if

→ it meets certain criteria:

- it is new.
- it involves an inventive step.
- it is capable of industrial application.

→ There are certain things that cannot be patented, including:

- Scientific theories
- Mathematical methods

- Artistic Creations
- The presentation of information
- Mental acts, games, business methods & computer programs.

Obtaining a patent

→ Getting a patent is a formal process. How this done:

1. Apply for a patent:

- Must apply for patent to a national patent office.
- if to protect in multiple countries, need to apply to each one.

2. Priority date:

- The date ~~date~~ you file your application is important.

- Invention must be new by that date. if someone files a similar patent before you, they will get priority.

3. Full application:

- within 12 month of first application, must submit a full patent description in all the countries where want to protect.

4. Global protection:
if is in global industry like computing, need patents in enough countries to block competitors.

→ In short, getting a patent takes time, costs money and requires planning, especially if to protect it in multiple countries.

Enforcing a patent can be challenging & costly:

infringement:

if someone uses potential invention without permission, need to take them to court to stop it.

Challenges:

→ In court, the infringer can argue that patent is not valid bcz:

- The invention is not new.
- The invention is obvious and anyone skilled in the field could have created it.
- High costs.

Software patents

→ For many years, the US patent and trademark office did not grant patents for computer programs.

→ Changed when in 1981, the supreme court ruled that a method for "curing rubbers" could be patented because it used a computer program.

→ Now in USA, a software can patent if:

- it is a part of product that can be patented.
- it controls a physical process. Like curing rubbers.
- it processes real-world data.

4. Design

→ A design refers to the appearance of a product, which includes things like its shape, texture, color, materials, and decoration.

→ For a design to be considered new, it must look clearly different from anything that already exists.

Design Rights

- A design right is a type of intellectual property that protects how a product looks. It ensures that the visual aspects of design cannot be copied by others without permission. This helps protect unique and creative designs from being used by competitors.

Types of Design Rights

- There are two types of design rights:

1. Registered

2. Unregistered

1. Unregistered design rights

- Protects the shape or structure of a product that could be sold in the market.
- These rights prevent others from copying design without permission.
- Design rights can be sold, bought or licensed. Typically last for 3-10 years depending on the region.
- Copy right might cover the creative aspects (like drawings or written details about the design), while design rights are more about protecting the physical form & build of the product.

No registration costs.

Limited ability to prevent copying.

2. Registered design rights

- A registered design rights gives extra protection for product appearance beyond design rights or copyrights.
- By registering design, prevent others from copying it for a longer period.
- However, this protection will only apply in the countries or regions where registered the design.
- Can last upto 25 years with renewals.
- Can prevent others from using the design in registered regions.

Registered design ordinance, 2000

- Under this ordinance, A person who owns a design can apply to officially register it. The registration applies to a specific product or set of product mentioned in the application.
- If someone breaks the rules of this ordinance, they can face punishment. This could be:
 - Up to 2 years in jail
 - A fine upto 20,000 Rupees
 - or both jail & a fine.

5. Trade Mark

→ A trademark is a word, name, symbol or mix of these that a company or individual uses to identify and set apart their products from those made or sold by others.

→ it shows the source of the goods & acts like a brand name.

→ The owner of the trade mark can be a person, a company or any legal organization.

→ A trademark may be located on a package, a label, a voucher or on the product itself.

→ Companies often show their trademark on their buildings to strengthen their brand identity.

Trade mark ordinance, 2001

→ A trade mark can be officially registered according to the rules in this law. The registration can apply to:

1. Goods
2. Services
3. Both Goods & services

Difference between Copyright, patents & Trade mark:

Copyright	Patent	Trademark
what it protects?	New inventions, processes or machines.	Brand name, logos, slogans, symbols or sounds.
Creative works like books, music, art, films, software etc.		
Requirements to be protected:	An invention must be new, useful and non-obvious.	A mark must be distinctive
A work must be original, creative and fixed in tangible medium.		
Term of protection:	20 Years	For as long as the mark used in commerce.
Artless life + 70 more years		
Ex:	A new type of engine or a medical device	Nike's "Swoosh" logo or Coca-Cola's brand name
A novel, song or painting		